

SUBORDINATED PROMISSORY NOTE

(Seller Note A)

Principal Amount:	\$120,000
Date:	July 15, 2026
Place:	Rockford, Illinois

FOR VALUE RECEIVED, Northgate Acquisition LLC, an Illinois limited liability company ("Maker"), promises to pay to the order of Ray Kowalski, an individual ("Holder"), the principal sum of One Hundred Twenty Thousand Dollars (\$120,000), together with interest as provided below.

1. Interest. Interest shall accrue on the unpaid principal balance at the rate of six percent (6%) per annum, computed as simple interest on the basis of a 365-day year, from the date of this Note until paid in full.

2. Standby; No Payments. This Note is subject to a full standby for the life of the loan made by Harbor Federal Bank to Maker on or about the date of this Note under the U.S. Small Business Administration 7(a) loan program (the "SBA Loan"). **No payment of principal or interest shall be made or accepted under this Note so long as any amount remains outstanding under the SBA Loan**, unless Harbor Federal Bank and the SBA have given prior written consent. Interest shall continue to accrue during the standby period and shall be added to the amount due at maturity.

3. Maturity. All unpaid principal and accrued interest shall be due and payable in a single payment on the date that is thirty (30) days after the SBA Loan has been paid in full, and in any event not earlier than July 15, 2036 (the "Maturity Date"). Based on the ten-year term of the SBA Loan, the parties expect the Maturity Date to be August 14, 2036.

4. Equity Injection. Maker and Holder acknowledge that this Note is intended to be counted toward Maker's equity injection for the SBA Loan and that it has been placed on full standby for that purpose under a Standby Creditor's Agreement of even date in favor of Harbor Federal Bank.

5. Prepayment. Maker may not prepay this Note while the SBA Loan is outstanding without the prior written consent of Harbor Federal Bank. After the SBA Loan is paid in full, Maker may prepay without premium or penalty.

6. Default. Failure to pay any amount within ten (10) days after the Maturity Date shall constitute an event of default, after which the unpaid balance shall bear interest at nine percent (9%) per annum.

7. Subordination. This Note and all rights of Holder are subordinate to the SBA Loan and the related security interests in all respects, and Holder shall take no action to collect on this Note that is inconsistent with the Standby Creditor's Agreement.

8. Governing Law. This Note is governed by the laws of the State of Illinois.

MAKER: Northgate Acquisition LLC

By: /s/ Dana Whitfield

Name: Dana Whitfield

Title: Managing Member

Acknowledged by Holder:

HOLDER:

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Individually